

Nike, Inc.: Strategic Positioning, Financial Performance, and Long-Term Value Creation

Authors:

Antonio Belles

Brian Pina

Gavin Campbell

Inês Correia Rodrigues

Manon Weyland

Mia Becker-Cooper

Table of Contents

1. Industry Dynamics.....3

2. Company Analysis - A Behemoth in Transformation 6

3. Financial Analysis 8

Appendix.....16

References:.....24

1. Industry Dynamics

Overview

The global sportswear industry- athletic apparel and footwear- is one of the largest industries and is continuing to expand. McKinsey shows retail sales rising from $303,4B in 2021 to $335B by 2023- with a forecast of reaching $404B by 2025. Although the industry experienced a slower growth rate due to the pandemic, reaching sales of only $301,7B in 2022, it has recovered due to the strong consumer demand, long-term health and wellness focused trends.

As a whole, the industry is on a steady upward trend due to the rising adherence to sports, the greater urbanization and more disposable income, especially in emerging markets. In developed markets, broad heath-and-wellness trends are fuelling demand- Fortune highlights a "rising population of health-conscious consumers" is boosting activewear demand worldwide. Moreover, it's key to note that this industry is considered as a "*marketing-and innovation-driven economic model*", not a capital-intensive manufacturing model.

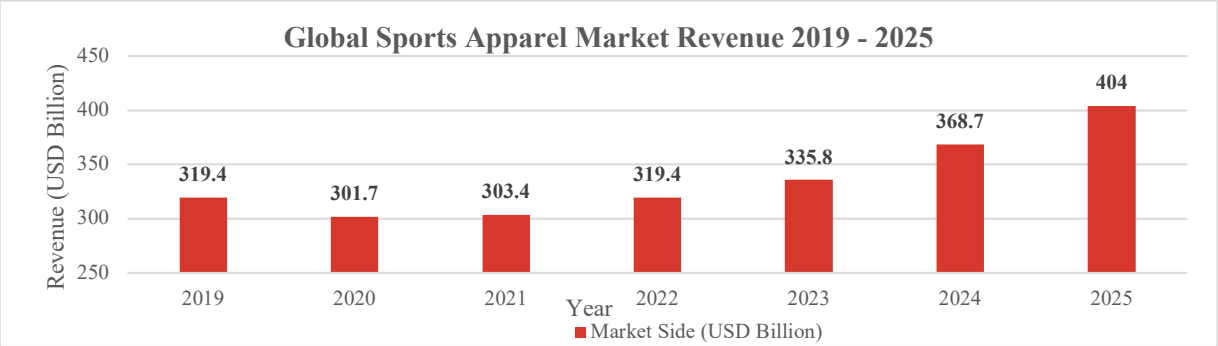


Figure 1: Global Sports Apparel Market Revenues (2019 through 2025)

Regional Market Outlook

The athletic wear and footwear industry has North America and Europe as its largest markets, with Asia-Pacific being the fastest-growing region. McKinsey estimates North America to account for $173B in sales in 2023, in comparison to the $335B sales in the industry worldwide. Europe led by Germany, the UK, and France is the second largest market, with roughly 20%-25% of total global sales. However, Asia-Pacific is quickly growing, especially markets like China and India that are rapidly expanding due to the increase in urbanization, higher incomes, and greater sports participation. In USD, Asia-Pacific grew form around $84B in 2021 to $98B in 2025 (forecasted).

Competitive landscape

The industry is fragmented but dominated by a few major brands. Leading global players include *Nike*, *Adidas*, *Puma*, *Under Armour*, *Lululemon*, *ASICS*, and *VF Corporation* (Vans and North Face). *Nike*, as the market leader, commands the largest share of the market (24,89%), followed by *Adidas* with a 14,36% market share, and other main competitors all with a market share of around 4%. This reinforces the constant need for innovation and differentiation in product offerings and marketing strategies for players in the industry as a key factor in gaining a competitive advantage. Notably, Chinese firms- specifically *Anta* and *Li-Ning* have captured large shares in China's booming sportswear market, though their global presence is more limited.

Industry observers note that *Nike* continues to hold the "largest slice" of the market, however, entrants have begun to capture at the top firms' market share by targeting niche performance segments with premium products. *On Running* (*On Holding*), a Swiss athletic-footwear company founded in 2010- differentiates itself through a new, specific technology- *Cloud Tec*- and a direct-to-customer focused model. Although they use a high-price-point for their running shoes, performance-focused runners have

begun turning to these brands, leading to the company achieving a 32,3% revenue growth from 2023 to 2024. Thus, the industry environment can be described as "*Nike vs Adidas*" at the top, with various specialized contenders.

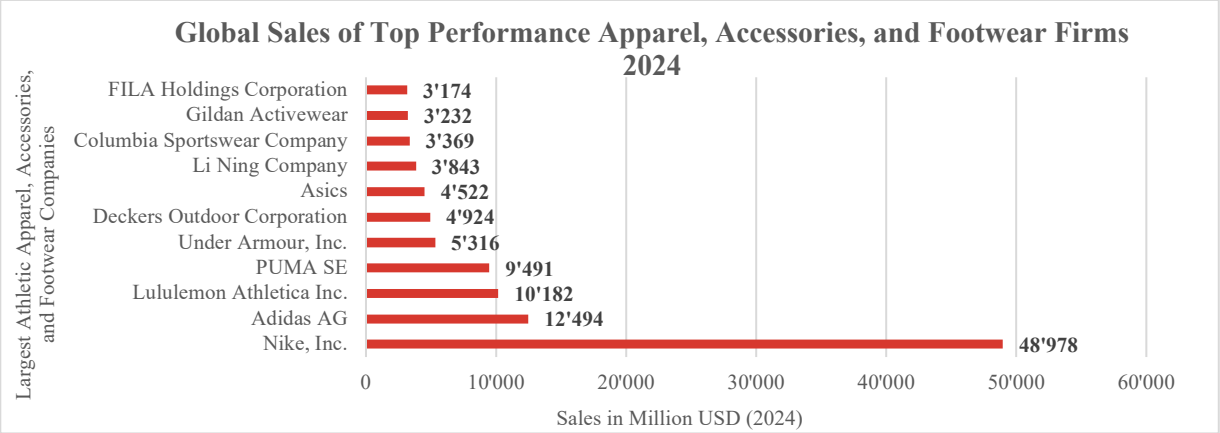


Figure 2: Global Sales of Top Performance Apparel, Accessories, and Footwear Firms in 2024

Profitability Drivers

A key profitability driver in the industry is brand power and innovation. Leading sportswear brands typically sustain gross margins in the 40%-50% range due to the premium pricing and brand loyalty. Consumers tolerate these prices due to perceived product value, performance features, or fashion appeal. Notably, proprietary materials/technologies underpin this. For instance, *Nike's* Dri-FIT moisture-wicking fabric, and cushioning foams like React or Zoom Air, offer functional differences that reduce price elasticity. Apparel items with advanced fibres (anti-sweat, thermal control) similarly allow for premium prices.

Secondly, a greater shift to direct-to-consumer sales has boosted profits. Sportswear makers have recently shifted to selling directly via brand-owned stores and online, capturing 100% of the full retain margin. This not only yields higher gross profit margins that wholesale, but also allows brands to gain direct consumer data, pricing control, and have a reduced reliance on third-party retailers.

Moreover, the large established firms in the industry exploit their global scale to keep costs low. Sportswear manufacturing is concentrated in Asia (Vietnam, Indonesia, and China), where companies negotiate large production contracts. Large order volumes give buying power over suppliers and factories, and efficient logistics, such as bulk shipping from major hubs. For instance, *Nike* and *Adidas* leverage multiple supplier networks to mitigate single-country risk and lower unit costs. These cost-advantages, along with centralized design and R&D spending, increase operating leverage.

Key Risks and Challenges

Firstly, the apparel and footwear rely on commodities (cotton, leather, and rubber), and synthetic inputs such as polyester and EVA foam, which have increased in price. Cotton prices have spiked to $0,92/lb in early 2024, compared to $0,65 pre-2021, and polyester raw materials increased 12% in 2023 due to volatile oil prices. This directly affects COGS for brands, lowering their gross margin if retail prices lag. Secondly, apparel production is labour-intensive and wages in the main manufacturing countries have been increasing each year, leading to higher overall production costs. Energy and transportation costs also add volatility as shipping disruptions and higher fuel prices directly affect logistical expenses. *Nike* itself has noted that global inflation has risen "material and transportation" costs. Moreover, sportswear is a largely discretionary industry, in periods of tight consumer budgets and higher inflation, consumers will delay purchase. In addition to this, apparel products have short life cycles and misjudging trends, and demand can lead to excess inventory. Brands hold risk of markdowns if goods

don’t quickly sell, cutting into margins. The COVID-19 pandemic in 2020 was a great example of this, where overproduction followed by demand collapse led to aggressive clearances.

Lastly, the complex apparel supply chain is vulnerable to shocks, including geopolitical events and climate events, that can interrupt production. For instance, rising US tariffs on Chinese apparel and footwear are already influencing sourcing decisions for Nike and Adidas. The new imposed US tariffs on Chinese garments may add around $425 per US household- estimated by experts. Similarly, import duties (and retaliatory tariffs) in other markets create uncertainty and thus, brands must be continuously adjusting sourcing, which raises costs and disrupts existing supplier relations.

Regulatory and Macro Environment

The sportswear market is exposed to multiple global regulations impacting costs and overall operations. Firstly, the Section 301 tariffs on Chinese apparel and footwear are a recent shift in the industry as these tariffs- currently averaging around 36% on top 10 suppliers- raise import costs significantly. Moreover, the rising regulatory scrutiny on labour practices affects apparel makers as new laws (such as forced labour bans in the US, and stricter factory safety standards in Asia) means brands must invest in compliance- as non-compliance can lead to product bans or reputational damage. Simultaneously, new sustainability regulations such as the EU REACH and the EU upcoming Extended Producer Responsibility (EPR) affect the way firms’ will manufacture and source their inputs. These trends compel firms to invest in eco-friendly materials and waste-reduction programs that normally lead to higher costs. *Adidas*, for example, has committed to making 90% of their products “sustainable” by 2026, including materials and processes. As a global industry, with firms reporting in USD/EUR but having costs in other currencies- Asia manufacturing-, currency fluctuations are a crucial consideration. Although firms like *Nike* and *Adidas* use hedging, FX risk remains.

Trends and Disruptions

Recent trends include online and *direct-to-consumer (DTC)* channels. As noted, *Nike’s* own *DTC* (stores and e-commerce) now make up around 45% of its total revenue, including personalized recommendation systems, online membership programs (*Nike Plus*), and social-media-driven marketing. Moreover, the line between sportswear and everyday fashion has become a dominant trend, with analysts reporting that around 45% of sportswear growth comes from this lifestyle segment. Brands have responded to this trend by expanding product lines beyond performance gear, *Nike* has launched streetwear collaborations and casual sneakers; *Adidas* has expanded its Originals and lifestyle collections. Even performance-led brands with more niche docus, such as *HOKA*, have added “lifestyle” versions of their products. This athleisure trend rose from the health and wellness mega trend in global fitness participation. Post-pandemic health consciousness has broadened the customer base. Corporate wellness programs and tech- fitness wearables- have also led to greater apparel sales as sportswear is being seen as essential lifestyle gear rather than just sports equipment. At the same time, consumer demand for more sustainable products has forced this industry to shift. Industry leaders are setting public sustainability goals- *Nike’s* “Move to Zero” carbon goal. Over the next 5 to 10 years, circular business models (resale, rentals, recycling) will significantly alter revenue streams. Lastly, the industry sees continuous innovation in both products and consumer engagement. Smart textiles- shirts with biometric sensors-, and virtual reality fitting are new advances in the industry. Brands like *Nike* and *Adidas* invest in R&D to develop new materials- foam technologies, moisture management fabrics- and even digital tools.

2. Company Analysis - A Behemoth in Transformation

Nike is not returning to former glory; it is undergoing a fundamental transformation. After decades of dominance, the company went through a painful series of strategic missteps post COVID-19, leading to its stock trading near a five-year low. In fiscal year 2025, sales fell 10% to $46.3 billion, earnings nearly halved. But this crisis has set in motion something grander than recovery, it has forced evolution.

Under the leadership of new CEO Elliott Hill, *Nike* is changing course entirely. The "Win Now" turnaround strategy represents a complete reimagining and restructuring of how *Nike* competes: from lifestyle back to sport performance, from digital-first to omnichannel balance, from product saturation to innovation and pioneering, from global uniformity to local market recognition. This is a reinvention of how the world's most valuable sports brand positions itself in this new era of agile specialists like *On Running* and *Hoka* and looming rivals like *Adidas* and *Puma*.

The opportunity for *Nike* to build up market share and momentum again is significant. It retains unmatched brand equity with 91% global awareness, scale advantages spanning 664 factories and 1.26M workers, and financial strength with $8.3B in liquidity. The key question is whether or not Elliott Hill can restore *Nike's* competitive edge before structural headwinds - $1.5B in annual tariffs, persistent China struggles, and severe margin compression – erode shareholder value beyond repair. The first signs suggest the *Win Now* strategy is successful: wholesale revenue grew 8% and North America surged 9% in the second quarter of fiscal 2026. As CEO Hill said, *Nike* is in the "middle innings" of its comeback, and execution will determine if the giant emerges as a leaner, more innovative competitor.

Business Model & Strategic Positioning

Nike's business model revolves around designing, marketing and distributing athletic footwear, apparel, and sports equipment through a hybrid channel strategy that balances wholesale partnerships with direct consumer channels. In the second fiscal quarter of 2026, footwear represented 62% of *Nike* Brand revenue at $7.7B, with apparel accounting for 32% at $3.9B and equipment representing 5% at $0.6B. The company's struggling subsidiary *Converse* contributed only 2% of total revenue at $300M, down 30% year-over-year and representing a large portfolio drag requiring strategic resolution.

Under Hill's leadership, the revenue mix has shifted significantly. Wholesale now accounts for 60% of revenue and grew 8% YoY, reflecting the company's pivot away from DTC. *Nike Direct* represents 37% of revenue, declining 8% as digital sales fell by 14% and physical store sales dropped 3%, showing the strategic recalibration Hill is implementing, as *Nike* aims to optimise profitability.

Geographically, North America is *Nike's* main market at 44% of revenue with $5.6B and growing 9% YoY, having been receptive to the company's turnaround strategy. Europe, Middle East and Africa combined contribute 27% at $3.4B with stable but low 3% growth despite competitive pressure from Adidas in its home market. Greater China represents only 11% of revenues as of early 2026. Asia Pacific and Latin America account for 15% of revenues, with modest 4% declines- representing an underutilized market where localized strategies and innovation could unlock significant value.

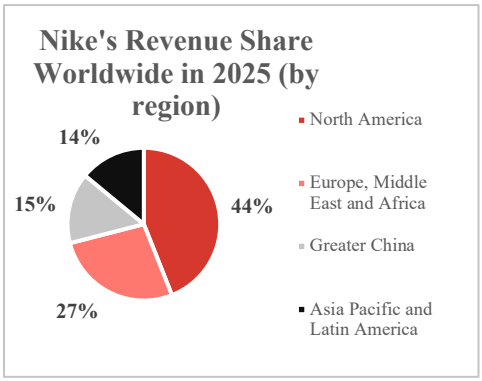


Figure 3: Nike's Revenue Share Worldwide 2025

Within its industry, *Nike* benefits from global market leadership at 24.9%, roughly twice the share of its nearest competitor. The company's brand value stands around $47 billion. Its competitive moat stems

from several sources: 91% global brand awareness with "*Just Do It*" and the iconic logo universally recognisable, athlete partnerships with stars like LeBron James or Serena Williams, and major league partnerships including the NBA and FIFA, an innovation heritage going from the *Nike Air* in 1979 through *Flyknit* in 2012 to current AI-powered design processes.

Nike's business model has evolved through three distinct phases in the past 15 years. From 2010 to 2019, *Nike* pursued balanced wholesale growth alongside emerging DTC channels while staying focused on product innovation and seeking global expansion. From 2020 to 2024, the company aggressively pivoted toward DTC sales and a digital-first strategy, while pushing lifestyle products that led to Air Force 1 and Jordan 1 market saturation. Since 2024, under the new CEO Elliott Hill, the "Win Now" strategy focuses on restoring wholesale, returning to sport performance positioning, and achieving regional success through local market authority.

Strategic Missteps & Structural Headwinds

Nike's recent underperformance and crisis stem from four strategic failures under ex-CEO John Donahoe. First, the "consumer direct acceleration" strategy damaged wholesale relationships to prioritise *Nike.com* and owned stores, causing digital sales to crash -26% in Q4 FY25 as fulfilment costs exploded and retailers prioritised competitors. Second, Nike did not pursue product innovation during these years, as endless *Air Force 1* and *Jordan 1* iterations saturated markets- *Nike* missed the maximalist cushioning trend that propelled *Hoka* (+50% CAGR) and *On Running* (+32%). Third, *Nike's* China strategy did not pan out as desired, collapsing through inflexible mono-brand retail. Lastly, market share decreased to 24,89% as specialists like those aforementioned captured running category credibility.

Structural headwinds have compounded execution challenges- new US trade policies culminated in $1.5B in annual costs from tariffs, forcing a $5-10 price increases in price-sensitive markets. Gross margin collapsed from 45.4% to 40.6% in 18 months (tariffs ~300bps, promotions, unfavourable channel mix), while operating margin plunged from 13.8% to 8.0%. The competitive landscape has also grown fiercer, with *Hoka* reaching $2.2B in revenue, *On* at $1.8B, *Adidas* reviving through Samba/Gazelle, and Chinese brands benefiting from local advantages and scale.

Current Performance and Win Now Strategy

In Q2 FY2026, revenue rose 1% to $12.4B (wholesale +8%, direct -8%), but margins remained under pressure (gross margin 40.6%, operating margin 8.0%) and net income fell 32%, following a 10% revenue decline in FY2025. The stock trades near five-year lows around $65 (-15% YoY), yet at ~40x forward earnings, suggesting markets are pricing in a successful turnaround despite wide valuation uncertainty ($41–97).

With Elliott Hill coming out of retirement after a 32-year career at *Nike* to take the role of CEO, came a swift restructuring plan whereby he eliminated CTO and CCO roles, centralized geographic leaders under direct CEO oversight, and let go of 775 distribution jobs. The "*Win Now"* strategy rests on five integrated pillars mentioned in *Appendix B.* Management frames fiscal year 2026 as a transition year, with 25% inventory reduction, marketing discipline, product innovation to drive performance appeal, gross margin recovery, and China stabilisation by 2027-28.

Implications for Financial Analysis

The strategic analysis conducted above establishes four financial priorities. Margin recovery requires decomposing headwinds to model a realistic recovery path. Working capital analysis must distinguish one-time inventory reduction from permanent efficiency gains. Segment economics should determine

the performance of individual geographic segments and return metrics must map ROIC recovery from current depression toward historical 25% excellence.

The success of *Nike's* turnaround hinges on whether Elliott Hill can restore *Nike's* competitive edge faster than structural headwinds erode value – a multi-year execution challenge with substantial risk at current valuation levels, but with meaningful upside if the company emerges leaner, renewed and more innovative.

3. Financial Analysis

Revenue Evolution and Regional Trends

The global athletic wear and footwear industry has expanded from $303B in 2021 to around $345B in 2025. During this time, *Nike* has delivered a 6-year revenue CAGR of 3,4% (FY2019-FY2025), reflecting resilience through macroeconomic and operational changes. Post-pandemic revenue significantly recovered, peaking at $51,4B in FY2024, before reducing to $46,3B in 2025- a 10% decrease attributed inventory normalization across the sector, softer discretionary demand under higher inflation, and intensified competition in performance categories.

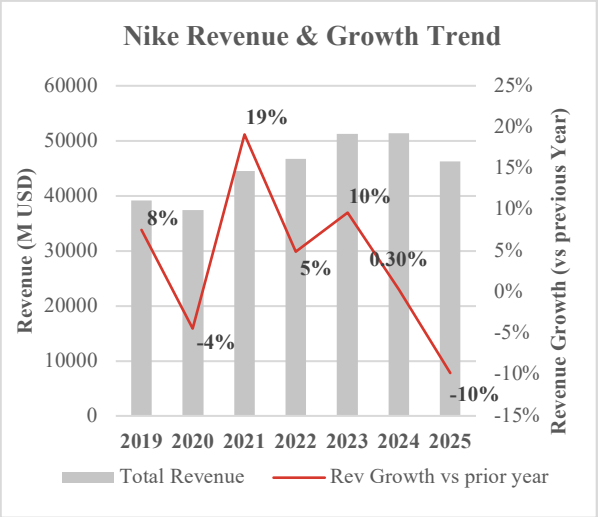


Figure 4: Nike Revenue & Growth Trend

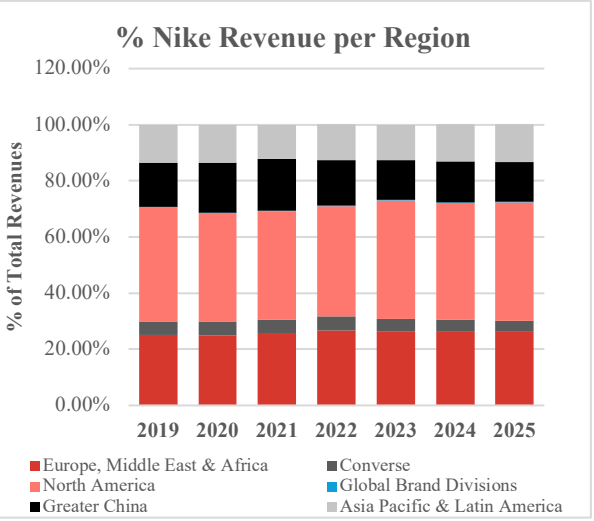


Figure 5: Nike Revenue per Region (as a %)

Lululemon stands out as the clear growth outlier, increasing its total revenue by $7,7B from 2019 to 2025, while *Puma* grew materially from 2019 to 2024 but declined in 2025- consistent with the increase in competitors in the industry and greater promotional pressures. *Under Armour's* revenues have surprisingly fallen since 2019, reinforcing how brand image and product relevance are crucial in the industry. *Nike's* largest competitor- *Adidas*- experienced a strong fall in revenues due to the pandemic but fully recovered in 2024 (*Appendix A).*

Geographically, *Nike's* revenues are aligned with the overall industry- as mentioned in the Company Description-, with North America being the largest market (42,3% of revenues in 2025). Conversely, Greater China has recorded only a 1,2% CAGR since 201, only representing 14% of total revenues- a decrease from previous years. This is linked to the increased competition from Chinese domestic brands, increased geopolitical tensions and digital execution gap.

Overall, *Nike's* channel mix has shifted as expected- *Nike* DTC has greatly fallen (-4% in Q1 2025) while wholesale has rebounded (+7% Q1 2025 and +8% Q2 2025). Management explains this was intentional as *Nike* is "re-engaging" with wholesale after its previous DTC over-weighting.

Profitability and Industry Dynamics

Nike reached its gross margin peak in FY2022 (46%); however margins have declined to 42,7% in FY 2025- with recent quarterly margins falling further. *Nike* attributes this to increased discounting, a shift in mix towards wholesale, and tariff-related cost pressures (*Nike* Inc., Fiscal Report Fourth Quarter 2025). Its operating margin has declined more sharply, to 8% in FY2025- reflecting the elevated SG&A intensity during the wholesale re-engagement strategy.

Lululemon operates at higher margin levels, with gross margins around 58% in both 2024 and 2025 (*Appendix B*). - reflecting its strategy of supplying a narrower product scope and lower wholesale dependence. On the contrary, *Adidas* and *Puma* operate closer to *Nike's* gross margin range- around 48%-, but both present significantly lower operating leverage in the recent period. Thus, compared to its peers, Nike continues to look like a business in transition, rather than a structurally unprofitable model.

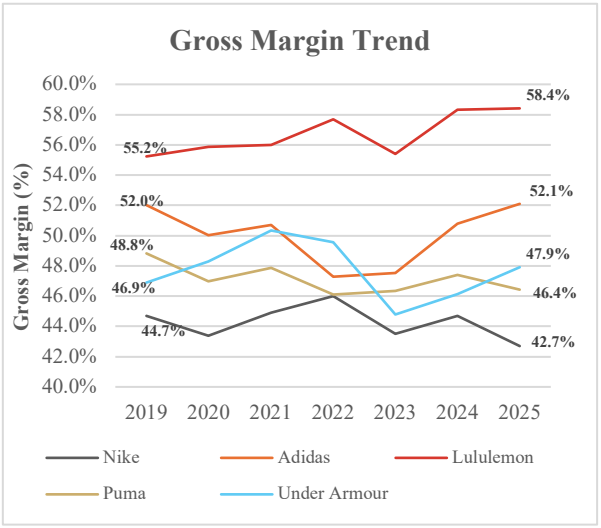


Figure 6: Peer Gross Margin Trend (2019-2025)

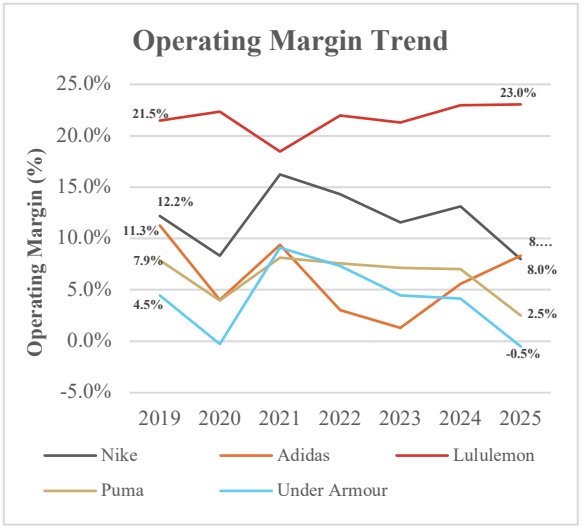


Figure 7: Peer Operating Margin Trend (2019-2025)

Cash Flow, Inventory, and Capital Returns

Despite lower margins, *Nike* continues to demonstrate meaningful cash flow resilience. Free cash flow margin historically ranged between 9% to 13%, with FY2025 falling to 7,1% amid earnings compressions. However, the firm has actually reduced its Capex as earlier investments have been completed. *Lululemon's* FCF margins are structurally higher and more consistent while *Adidas* shows substantial volatility, including a negative FCF value in 2022. *Puma's* cash generation is positive but more constrained by operating margin levels, whilst *Under Armour's* FCF margin trends down to negative in 2025- in-line with its weak operating profitability and limited ability to capture demand.

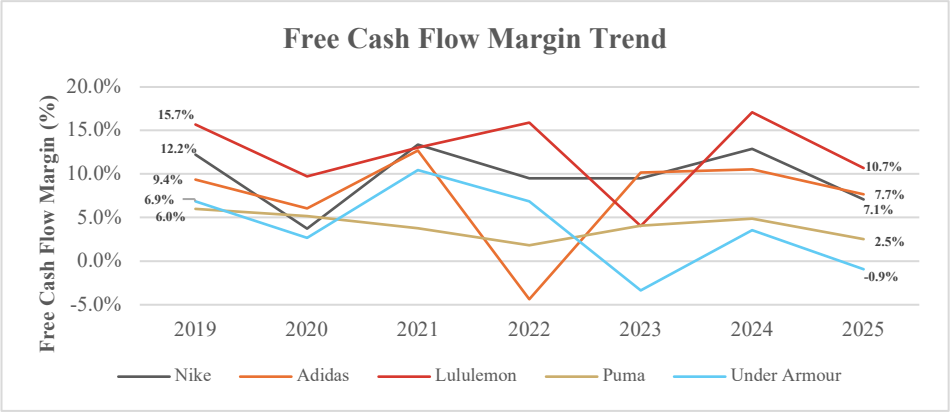


Figure 8: Peer Free Cash Flow Margin Trend (2019-2025)

Inventories have normalized since the peak pandemic-era supply chain disruptions. *Nike's* reports show an inventory reduction since 2023 (-11,1% in 2024 and a further -0,4% in 2025). Management ties this to higher product costs, but notes that units are truly declining. Its peers inventory levels support the nature of the industry- suffering a large increase in 2022 but stabilizing since 2024.

Regarding capital allocation, *Nike* continues to differentiate itself with its historical discipline- the company continues with 23 years of consecutive dividend increases and continued sizeable buybacks (over $12B repurchased until December 2025 under the current program).

Nike Financial Position Within the Industry

The strategic narrative driving these trends is well documented. *Nike* repeatedly describes its current phase as the "middle innings" of a turnaround. The firm's "Win Now" plan is explicitly linked to the current financial performance- admitting the firm is prioritizing "sports-centric innovation" and strengthening their partner relationships even at short-term costs. These strategic decisions explain its recent financial performance: developing new products has increased design and marketing costs, while renewing wholesale ties has temporarily lowered margins.

In parallel, *Nike's* commentary and press coverage tie the growth slowdown to the issues noted in the analysis. This is evident in the results: wholesales grew despite the overall revenue decline. Furthermore, competitive dynamics are key to consider especially the loss of demand to performance-focused brands and the strategy missteps in China.

Overall, recent findings and news substantiate the explained company financials. *Nike's* revenues and profit declines are linked to both greater industry challenges- inflation, tariffs, inventory corrections- and deliberate strategic shifts- rebalancing channels, refreshing its product portfolio. *Nike's* CEO and CFO confirm that these actions- though painful in the short term- are aimed at restoring *Nike's* leadership long-term. Thus, the financial performance reflects a transitional phase.

The following section analyses *Nike's* financial health and capital structure over the past decade, examining how leverage, liquidity, and solvency metrics have been shaped by the same forces: the DTC transition, COVID-19 disruptions, and the ongoing Win Now recovery.

Financial Health and Capital Structure

Leverage

Looking 10 years back, *Nike's* 2016 to 2019 period took advantage of the historically low-interest rate era (US FED Rate averaging at 2%) to increase its leverage from ~10% to ~40% between 2016 and 2019, and their Debt/EBITDA from 0,3x to 0,7x over the time frame. This leverage was to fund global expansion, new retail stores and a transition to a *DTC* model cutting out 3rd party sellers. The combination of facing extreme shutdowns- specifically in Vietnam who supplied 60% of *Nike's* shoe production and pressure from new DTC operational complexity, led to acute supply bottlenecks. In response, *Nike* issued $6B in precautionary bonds, causing total debt to rise to $13B, Debt-to-Equity spiking sharply to around 160% in FY2020, Financial Leverage reaching 3,89x, and Debt/EBITDA peaking at 2,5x, driven by the precautionary bond issuance rather than any deterioration in the underlying business. Post-pandemic deleveraging then brought the ratio back down methodically, stabilising at 80% by FY2025, broadly back in line with pre-pandemic levels. Figure 9 highlights COVID-19 consequences, with *Nike's* Debt/Equity Ratio spiking in 2020 at 160%, however leverage was not due to more debt, but due to weak earnings during pandemic causing consistent temporary leverage pressure. *Adidas* faced refinancing squeezes with coverage ratios fluctuating between 10–16x and debt-to-EBITDA averaging 2.5-3.0x, while *Puma* carried an even more stretched position at 3.5x

debt-to-EBITDA and 132% debt-to-equity, both illustrating the cost of higher leverage through the 2022-2024 rate cycle that *Nike's* conservative structure avoided.

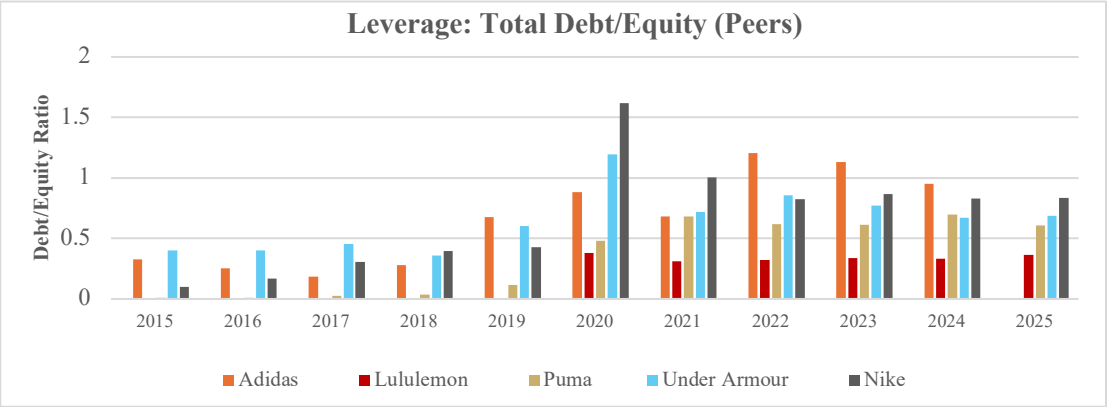


Figure 9: Debt/Equity Ratio of Peers (FY2016–FY2025)

Liquidity

Pre-pandemic liquidity was solid, with current ratios between 1,5 and 2,0x in line with wholesale-dominant model standards. Liquidity tightened in 2019 (Figure 10) with a quick ratio dropping to 1,1x and a current ratio to 2,1x due to cash being used for operating needs (DTC transition) and inventory build-up. *Nike* having around $12B cash buffer (from the 2020 bond issuance) during the pandemic gave them a crucial liquidity buffer during container shortages, Vietnam production delays, and inventory build-up to $7,4B. Nike's liquidity friction was a structural consequence of retrofitting a wholesale business into DTC, a problem *Lululemon*, having built its DTC model from scratch with ~27% EBITDA margins, never faced. *Under Armor* and *Adidas*, by contrast, saw cash fall ~25% and ~22% year-on-year amid heavy promotions and persistent underperformance, versus *Nike's* 4.4% decline. By 2025, inventory levels have normalized (around $7,5B) and the current ratio has recovered to 2,0x.

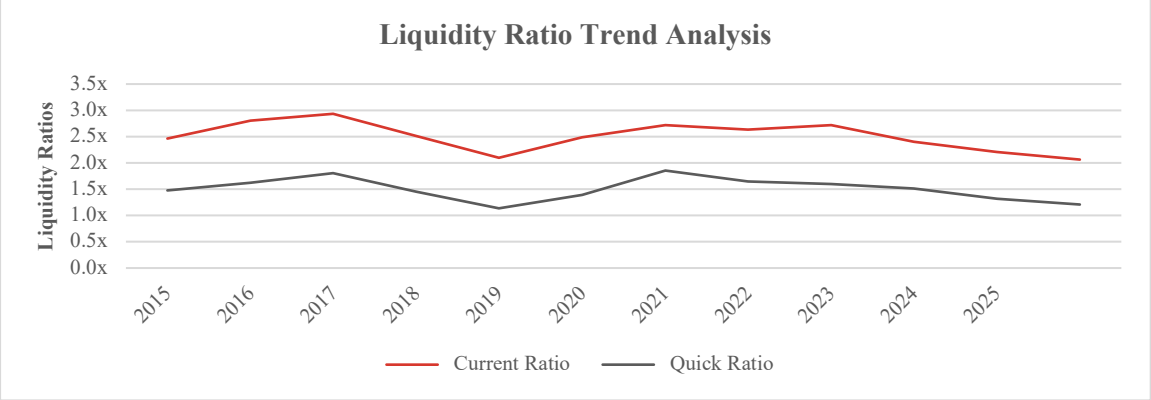


Figure 10: Liquidity Ratio Trend Analysis (2015–2025).

Solvency

In *Nike's* pre-pandemic years 2016-2017, interest coverage was inefficiently high. *Nike* optimized this through debt issuance ($2.0B in 2016 and $3.5B by 2017) and shareholder distributions ($12B share repurchase program in 2015, executing billions in 2016), causing a steep deliberate decline in coverage from 145.2x to between 20-25x. This was deliberate balance sheet optimization, not financial distress; interest coverage above 10x remains very strong by any standard. Post-pandemic, coverage remained

solid between 20-25x, and debt-to-assets halved to 0.22x (ex-leases), reflecting *Nike's* focus on capital discipline. In peer context, *Adidas'* coverage remained volatile between 10-16x throughout the rate cycle, while Under Armour's coverage of ~4x left it genuinely exposed to covenant risk. An Altman Z-Score above 8 confirms minimal distress risk- *Appendix F*. The 2025 reduction in coverage to 12.5x reflects cyclical pressures, post-pandemic demand normalization and the inventory markdown cycle, and the DTC restructuring, rather than structural deterioration.

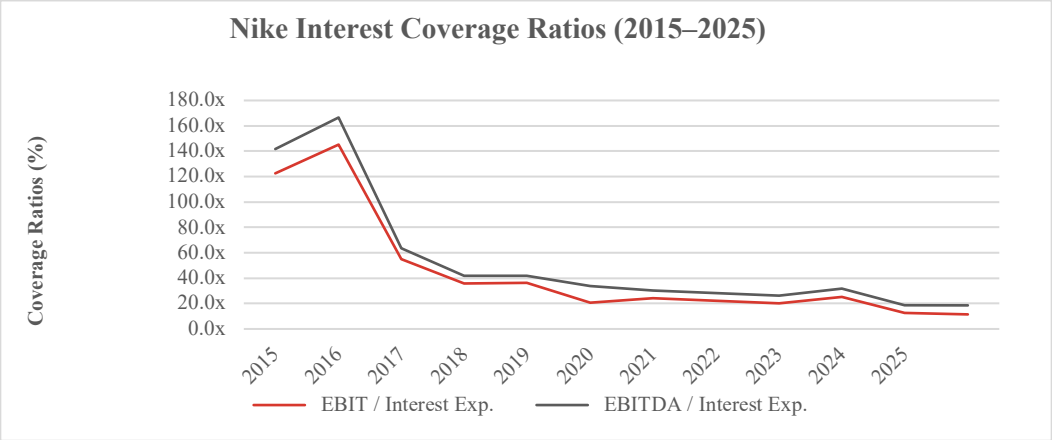


Figure 11: Nike Interest Coverage Ratios (2016–2025)

Debt Structure

Nike's debt is predominantly (90%) financed by long terms fixed rate bonds, totalling to $8B, with $2B maturing in 2027 and $1,5B in 2030. The fixed rates between 0-3% meant that *Nike* was insensitive to the 2022-2024 rate spikes (Fed raised rates to 5.5%), and their deliberate risk mitigation preserved stable interest expenses throughout industry-wide leverage pressure. Post pandemic, *Nikes* total debt decreased to maintain a strong AA- credit rating, signalling to rating agencies that the 2020 debt spike was a precautionary response to the crisis rather than a structural increase in leverage. By contrast, *Adidas* and *Under Armour* both faced meaningful refinancing pressures, *Adidas* with debt-to-EBITDA averaging 2.5-3.0x and *Under Armour* with interest coverage of only ~4x, leaving it exposed to covenant risk.

Capital Allocation

Nike allocates its $5-7B annual free cash flow through a disciplined capital allocation model: 54% re-invested in innovation and supply chain capabilities, 28% directed to buybacks, and 18% to dividends. This capital structure has generated over $20B in shareholder returns despite lower revenue levels in FY2025 (-10%), reflecting the impact of tariffs and China weakness. *Puma*, with Debt-to-EBITDA of 3.5x, has significantly less financial flexibility for shareholder returns, while *Under Armour* constrained buybacks to just ~$25m amid volatile earnings, together illustrating how *Nike's* conservative leverage directly enabled its $20bn+ capital return program even through declining revenues.

Operational Efficiency and Return Metrics

Nike's Return on Invested Capital (ROIC) fell to 21,1% in 2024 due to an "Efficiency Trap"- transitioning to an asset-heavy DTC model increased invested capital without a proportional rise in Net Operating Profit After Tax (NOPAT). While Operating Spread grew to 16,36% through cost controls, the overall return was suppressed by a velocity mismatched- high inventory levels and physical store expansions slower capital return.

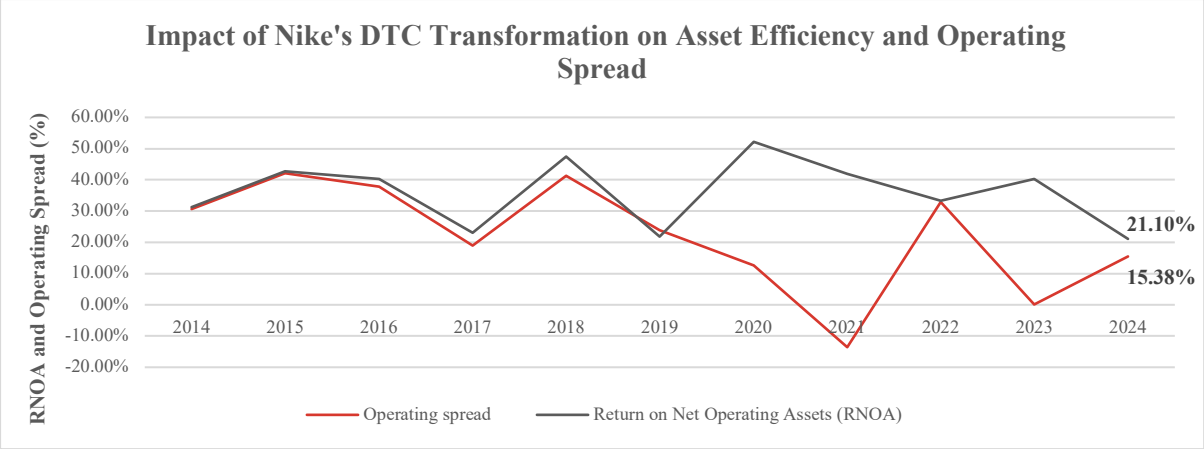


Figure 12: Return on Invested Capital (ROIC or RNOA) and operating spread gap

The Standard View: Historically, *Nike's* Total Asset Turnover has shown resilience despite a capital-heavy shift toward owning retail leases and inventory. This ratio dipped to 1,19x in 2020 and rebounded to 1,35x by 2024. While this remains below the theoretical 2,0x industry target, it reflects the "asset-heavy" reality of a brand that owns its global distribution and physical retail footprint.

The Reformulated View: When we strip away non-operating items, specifically *Nike's* important cash piles and financial investments, *Nike's* Asset Turnover (ATO) stands at 3.1x in 2024- for every $1 of Net Operating Assets, Nike generates $3,10 in sales. The reformulated turnover focuses strictly on the assets "at work" showing that Nike's core operating engine is nearly 3x more efficient than the raw balance sheet suggests. Therefore, even though the switch towards a DTC model impacted *Nike's* ROIC, its core assets remain efficiently used.

Using the standard view of asset turnover for *Nike's* benchmark, the firm stands in line with its main competitors, equating Puma's ATO. While *Lululemon* has a higher total asset turnover due to a leaner overall balance sheet, *Nike's* superior 6.7x fixed asset turnover vs. *Lululemon's* 3.5x proves that *Nike's* global infrastructure is far more productive (*Appendix G*). This indicates that *Nike* generates significantly more revenue per dollar of physical retail and production assets, leveraging its scale to achieve higher asset productivity than *Lululemon's* more store-intensive investment model.

ROE Disaggregation (The DuPont Analysis)

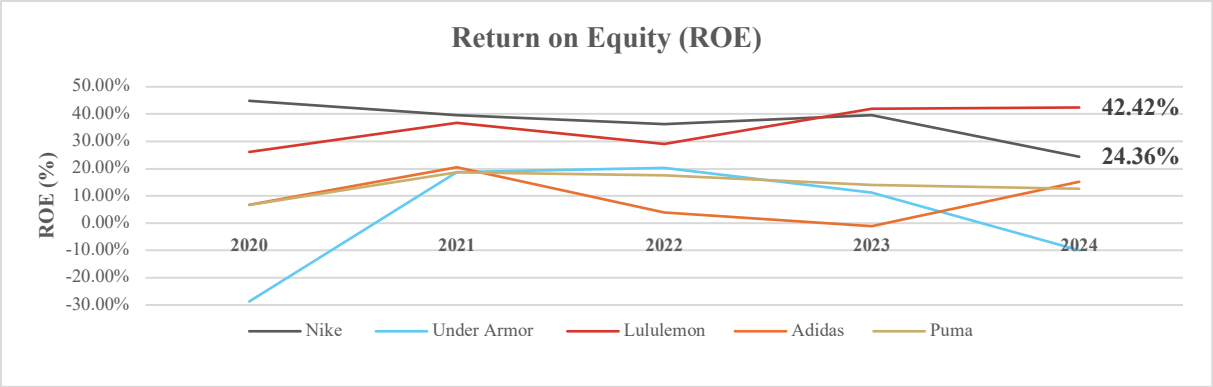
Nike's ROE fell to 24.36% in 2024, a sharp decline from its 39.5% in 2023. This contraction is primarily driven by a significant deterioration in the Net Operating Profit Margin (NOPM), which lost approximately 500 basis points over the period- indicating that while Nike increased its asset intensity through long-term retail leases for its DTC pivot, it simultaneously faced higher promotional costs to clear inventory. As the firm's operational efficiency declines, a greater portion of *Nike's* ROE has been supported through share repurchases that reduce the equity base, rather than through improvements in profitability. This indicates that the 2024 return is less a reflection of core "Brand Power" and more a result of balance sheet manipulation to offset weakening operational performance.

Compared to its peers *Nike's* ROE (24.36%) is still better performing than its peers- *Adidas's* (15.3%), *Puma's* (12.7%), and *Under Armor* (-10%). This gap is driven by both profitability and efficiency:

- Profitability: *Nike's* ROA of ~15% whilst Adidas's is 4.3%.
- Balance Sheet: *Nike* turns its assets over more effectively, whereas Adidas has struggled with unproductive inventory and lower margins in its core markets.

Lululemon's efficiency is structurally embedded in its business model- DTC focused-, thus, it accelerates cash conversion and keeps total assets lower relative to its sales. This higher Asset Turnover mathematically supports the firms' 42,42% ROE level.

Even though *Nike's* ROE of 24.36% (2024) appears strong at first glance, ROE decomposition shows that operational engine has faced significant headwinds; while the Operating Profit Margin (8%)

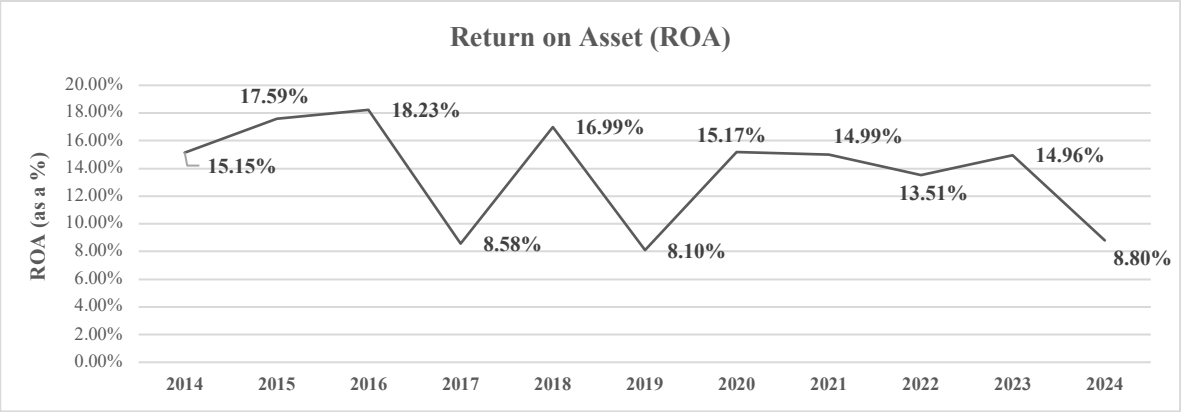


remains healthy compared to industry peers like *Puma* or *Under Amor*, it is no longer the sole driver of growth it once was. Instead, *Nike* is increasingly relying on its Financial Multiplier to amplify these returns. By aggressively using debt to fund share buybacks, *Nike* has shrunk its equity base, which mathematically juices the ROE.

Figure 13: Return on Equity benchmark among Nike's competitors

As *Nike* moves toward a DTC model, it anticipated margin expansion; however, higher digital infrastructure costs and elevated inventory levels constrained asset turnover (1.35x) and limited the expected profitability gains. To keep shareholders satisfied and maintain an ROE near 24%, management has utilized the balance sheet as a tool, leveraging *Nike's* high credit rating to borrow cheap capital. This allows the company to maintain high level returns even as they navigate a "transitory" period of operational restructuring and inventory rightsizing.

ROA Disaggregation & Segment Drivers



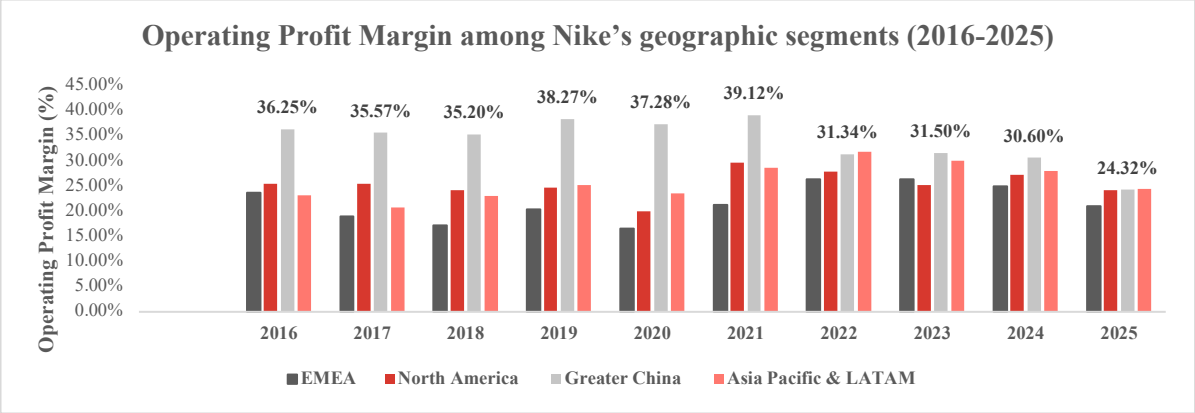
Level 1,2, & 3: As *Nike's* performance has been declining in 2024, so does it's ROA of 8.8%. This performance decline indicates that the operational engine has stalled as the costs of maintaining a massive physical and digital footprint (higher SG&A) are currently outpacing the incremental profit gains of the DTC model.

Figure 14: Nike's Return on Asset (ROA) trend (2014-2024)

Level 4: Greater China represents *Nike's* premier efficiency opportunity due to its superior Fixed Asset Utilization of 4.3x, which significantly outpaces established markets like EMEA (3.0x) and North America (2.8x)- *Appendix H*. This is driven by a specialized asset-light advantage; while Western

markets are burdened by aging, legacy wholesale networks, the China segment operates on a "Digital-First" model. By leveraging high-velocity social commerce platforms like *Tmall* and *WeChat* alongside sophisticated local partnerships, Nike generates $4.30 in sales for every dollar of physical infrastructure.

The Greater China segment represents *Nike's* strongest asset base, with fixed asset utilization of 4,3x- highest in its portfolio. Sustaining this performance requires leveraging scale and a 3,8x inventory



turnover to compete against premium competitors like *Lululemon*, as well as domestic leaders like *Anta* and performance-based brands like *On*. Shifting towards an operational precision strategy- using the segments' cash to fund data-driven demand forecasting and localized product innovation- supports market share stabilization whilst preserving profitability.

Figure 15: Operating Profit Margin among Nike's geographic segments (2016-2025)

Investment, Growth, and Cash Flow Dynamics

Nike's capital allocation is a testament of a company going through an aggressive restructuring while defending shareholder commitments under cash flow pressure. As discussed in previous sections, operating cash flow collapsed from $7.4 billion to $3.7 billion in fiscal year 2025 as earnings shrunk. Management reduced CapEx by 47% to $430 million, exiting the underperforming DTC infrastructure while increasing promotional (marketing) expenditure 13% towards $5 billion to fund the performance category comeback. There is intent behind this trade-off: starve legacy channels, feed brand restoration.

Infrastructure cuts temporarily masked operating cash flow deterioration, but to a limited extent. FCF fell from $9.6 billion to $4.6 billion in 2025 (-50%), because of the decrease in operating cash flow. This $4.6 billion still comfortably covered most of the $5.2 billion in capital returns at 115% payout, keeping Nike's 24-year dividend streak untroubled while drawing modestly on balance sheet reserves. As CapEx normalises around $600-800 million for renewed wholesale partnerships and China investments, FCF will shrink due to operating cash flow pressure. At that rate, maintaining dividends and buybacks will prove difficult, putting pressure either on shareholder returns or balance sheet strength.

Working capital provided most relief, with inventories flat at $7.5 billion despite 10% revenue decline, although days inventory was of 103, exposing the structural issue: stock reduction is lagging sales rate. *Nike* management's 25% target inventory decrease remains ahead, representing one-time clearance rather than sustainable efficiency.

Overall, recent capital allocation decisions are consistent with the company's Win Now strategy, but current cash flow dynamics are not providing flexibility. The $9.2 billion cash and short-term investments position provides stability through 2027-28, but restoring operating cash flow to historically high levels will require gross margin recovery. Without margin improvements, management will face tough decisions, between keeping shareholder returns and maintaining its stable balance sheet as CapEx stabilises and restructuring investments increase.

Appendix

Appendix A: 5 Porter's Forces on Nike Industry Positioning

1. Competitive Rivalry: Very Strong
   Competition within the sportswear industry is extremely intense due to the large size of the market. Nike faces strong competition from rivals including Adidas, Under Armour, Lululemon, and multiple smaller niche brands. This industry is in its maturity stage, meaning that firms have slower growth rates- further intensifying competition as firms are constantly competing for market share. Nike and Adidas- being the market leaders- captured the largest market share, with Nike holding 21,1% of the global athletic footwear market and Adidas having 15,1%. The constant need for innovation and adoption of new technology in their products and marketing strategies is key for gaining a competitive advantage in the industry.
2. Threat of New Entrants
   Threat of new entrants is relatively low due to the high barriers to enter the market. Since 1964, Nike has continuously invested in building their brand equity, making it harder for new firms to establish their brand. Entering the sportswear industry requires a large initial capital investment in product design, manufacturing, marketing, and distribution network. Established firms like Nike and Adidas benefit from economies of scale in manufacturing and purchasing- thus, newcomers are not able to compete on cost. An additional barrier are the government regulations surrounding the industry in regard to trademarks and intellectual property.
3. Threat of Substitutes
   Substitutes for the sportswear and footwear industry is moderate as brands face competition from fashion-oriented apparel and footwear companies that give customers alternative options. Additionally, technological advancements have introduced substitutes like fitness apps and smartwatches that consumers may prefer for exercise and for tracking their activities. Nevertheless, Nike's strategic adaptions, strong brand positioning, diverse product range, and enhanced consumer engagement have effectively diffused the potential impact of these substitutes.
4. Bargaining Power of Suppliers:
   Suppliers within the athletic footwear and clothing industry have a low level of bargaining power as large firms- like Nike, Adidas, Under Armour…- keep a large global supply chain, having various vendors supplying the same raw materials- such as cotton, leather, rubber, and labour. This diversification in their supplier base reduces their over-reliance on a single vendor. Moreover, Nike's large production scale provides the firm with great negotiating leverage- enabling them to secure favourable rates and terms as manufacturers strive to secure these contracts.
5. Bargaining Power of Buyers:
   While individual consumers have limited influence, wholesale buyers- such as footwear retailers- have moderate bargaining power. Nike and Adidas distribute its products through various retail outlets- consisting of department stores, sporting product chains, and independent retailers. However, a few major firms account for a large portion of Nike's sales- meaning that if these retailers stop stocking the brand's products, the firm's revenues would be affected. Nevertheless, Nike's strong global recognition and stronger online presence help mitigate this threat.

Appendix B: Nike's Win Now Strategy Pillars:

1. Culture lets go of inertia in favour of aggressive leadership: "We force others to play our game; We drive trends; We lead."

2. Product locks in five fields of play (running, basketball, football, training and sportswear) by unifying innovation teams and launching several new technology-driven product lines, while strategically pulling back Air Force 1 and Jordan saturation.

3. Marketing increases demand creation, shifting from promotions to brand-building through sport-centric storytelling, leveraging renewed athlete relationships and institutional partnerships.

4. Marketplace rebalances the channel mix by restoring wholesale relationships (DSW, Macy's, Amazon re-engagement), achieving 8% growth while slowing down DTC.

5. The key markets pillar concentrates resource allocation on three countries (US, China, UK) and five cities (NY, LA, Shanghai, Beijing and London), with China in need of fundamental strategy change, for which store investment, e-commerce adaptation and performance positioning are in motion.

Appendix C: Industry Full Revenue Table (2019–2025)

	2019	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**
Nike	$ 39 117,00	$37 403,00	$44 538,00	$46 710,00	$51 217,00	$51 362,00	$46 309,00
Adidas	$23 640,00	$18 435,00	$21 234,00	$22 511,00	$21 427,00	$23 683,00	$24 810,00
Lululemon	$ 3 288,32	$3 979,30	$4 401,88	$6 256,62	$8 110,52	$9 619,28	$10 588,13
Puma	$5 502,20	$5 234,40	$6 805,40	$8 465,10	$8 601,70	$8 817,20	$ 8 263,30
Under Armour	$5 267,13	$ 4 474,67	$5 682,59	$5 727,06	$5 903,17	$5 701,88	$ 5 164,31

Appendix C presents total revenue for Nike and selected peers (Adidas, Puma, Lululemon, Under Armour) from FY2019–FY2025. These values are used to compute CAGR, revenue index, and relative growth comparisons discussed in Section 1.

Appendix D: Industry Full Profitability Table (2019-2025)

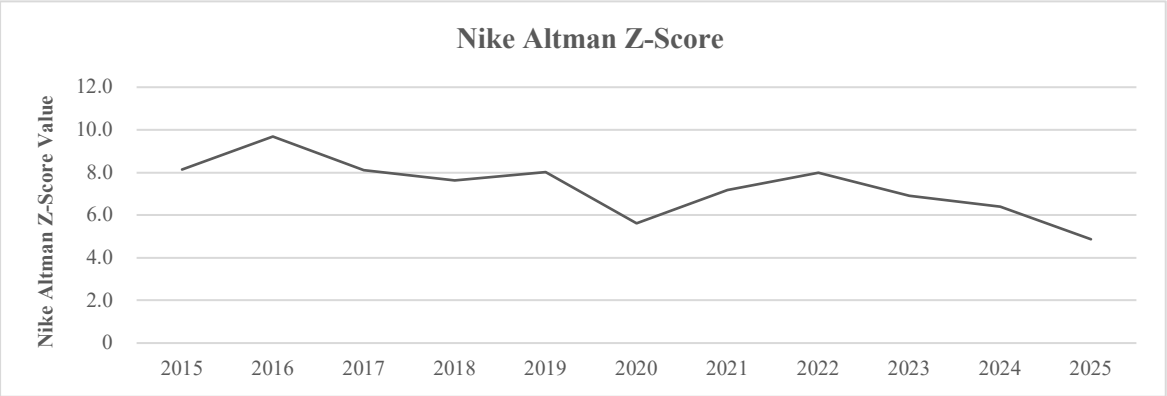
	2019	2020	2021	2022	2023	2024	2025
Gross Profit							
Nike	$17474	$ 16241	$ 20001	$ 21479	$ 22292	$ 22951	$ 19790
Adidas	$ 12293	$ 9222	$ 10765	$ 10644	$ 10183	$ 12025	-
Lululemon	$ 1816,3	$ 2223,4	$ 2463,9	$ 3608,6	$ 4492,3	$ 5609,4	$ 6468,2
Puma	$ 2686,4	$ 2458	$ 3257,8	$ 3902,8	$ 3986,6	$ 4178	$ 3837,5
Under Armour	$ 2470,5	$ 2160,1	$ 2860,6	$ 2837,3	$ 2643,8	$ 2630,3	$ 2474,7
Gross Profit Margin							
Nike	44,7%	43,4%	44,9%	46,0%	43,5%	44,7%	42,7%
Adidas	52,0%	50,0%	50,7%	47,3%	47,5%	50,8%	-
Lululemon	55,2%	55,9%	56,0%	57,7%	55,4%	58,3%	58,4%
Puma	48,8%	47,0%	47,9%	46,1%	46,3%	47,4%	46,4%
Under Armour	46,9%	48,3%	50,3%	49,5%	44,8%	46,1%	47,9%
Operating Profit							
Nike	$ 4772	$ 3115	$ 7231	$ 6675	$ 5915	$ 6754	$ 3702
Adidas	$ 2666	$ 741	$ 1995	$ 682	$ 280	$ 1323	-
Lululemon	$ 705,8	$ 889,1	$ 812,7	$ 1374,7	$ 1726,1	$ 2210,7	2440,5
Puma	$ 435,4	$ 208,3	$ 554	$ 640	$ 612,2	$ 618,8	$ 207,7
Under Armour	$ 236,7	$(11,8)	$ 517,8	$ 420,0	$ 265,6	$ 235,9	$(25,8)
Operating Profit Margin							
Nike	12,2%	8,3%	16,2%	14,3%	11,5%	13,1%	8,0%
Adidas	11,3%	4,0%	9,4%	3,0%	1,3%	5,6%	-
Lululemon	21,46%	22,34%	18,46%	21,97%	21,28%	22,98%	23,05%
Puma	7,9%	4,0%	8,1%	7,6%	7,1%	7,0%	2,5%
Under Armour	4,50%	(0,26)%	9,11%	7,33%	4,50%	4,14%	(0,50)%

Appendix D reports full profitability metrics for Nike and peers, forming the basis for margin trend analysis and comparative profitability assessment.

Appendix E: Industry Net Debt / EBITDA Table

	2019	2020	2021	2022	2023	2024	2025
Net Debt							
Nike	$(810)	$ 4228	$(663)	$(370)	$ 1469	$ 401	$ 1870
Adidas	$ 2258	$ 1841	$ 1432	$ 5583	$ 4084	$ 3057	-
Lululemon	$(881,3)	$(353,5)	$(351,8)	$(378,8)	$(84,5)	$(840,7)	$ 726,9
Puma	$ 400,7	$ 542,2	$ 645,8	$ 1094,8	$ 1251,5	$(1350,4)	$ 2448,3
Under Armour	$ 511,1	$ 488,1	$(165,1)	$ 466,9	$ 810,2	$ 584,2	$ 1223,8
EBITDA							
Nike	$ 5492	$ 4234	$ 8028	$ 7515	$ 6618	$ 7550	$ 4477
Adidas	$ 3205	$ 1192	$ 2512	$ 1213	$ 785	$ 1853	-
Lululemon	$ 828,3	$ 1051,0	$ 998,2	$ 1598,9	$ 2017,9	$ 2590,0	$ 2935,8
Puma	$ 532	$ 311,5	$ 665,1	$ 770	$ 755	$ 770,3	$ 365,7
Under Armour	$ 423,2	$ 153,1	$ 658,8	$ 560,6	$ 401,1	$ 378,5	$ 96,7
Net Debt/EBITDA							
Nike	(0,15)	1,00	(0,08)	(0,05)	0,22	0,05	0,42
Adidas	0,70	1,54	0,57	4,60	5,20	1,65	-
Lululemon	(1,06)	(0,34)	(0,35)	(0,24)	(0,04)	(0,32)	0,25
Puma	0,75	1,74	0,97	1,42	1,66	1,753	6,69
Under Armour	1,20	3,18	(0,25)	0,83	2,02	1,50	12,60

Appendix F: Altman Z-Score



Nike's Altman Z-Score remains well above the distress threshold (>3.0), indicating very low bankruptcy risk despite the decline from earlier peak levels. The recent downward trend reflects weaker earnings and margin compression, not structural solvency concerns, leaving the balance sheet strong enough to support the turnaround.

Appendix G: Efficiency ratios – Benchmark analysis

Total asset turnover	**2020**	**2021**	**2022**	**2023**	**2024**
Nike	1,2x	1,2x	1,2x	1,4x	**1,3x**
Puma	1,2x	1,3x	1,4x	1,3x	1,3x
Adidas	0,9x	1,0x	1,1x	1,1x	1,2x
Under Armor	0,9x	1,1x	1,3x	1,2x	1,1x
Lululemon	1,2x	1,4x	1,5x	1,5x	1,4x
Fixed asset turnover	**2020**	**2021**	**2022**	**2023**	**2024**
Nike	4,7x	5,6x	6,1x	6,4x	**6,7x**
Puma	4,8x	5,4x	5,6x	5,1x	4,8x
Adidas	3,7x	4,5x	4,6x	4,6x	5,1x
Under Armor	3,5x	5,0x	5,5x	5,1x	4,9x
Lululemon	3,1x	3,9x	4,1x	3,8x	3,5x
Accounts Receivable Turnover	**2020**	**2021**	**2022**	**2023**	**2024**
Nike	13,6x	10,0x	10,0x	12,4x	**11,6x**
Puma	8,5x	9,3x	8,9x	7,8x	7,4x
Adidas	8,0x	10,2x	9,5x	9,6x	10,9x
Under Armor	7,0x	10,2x	8,1x	7,4x	7,1x
Lululemon	85,8x	89,8x	77,3x	74,7x	86,5x
Inventory turnover	**2020**	**2021**	**2022**	**2023**	**2024**
Nike	2,9x	3,6x	3,0x	3,4x	**3,8x**
Puma	2,5x	2,7x	2,4x	2,3x	2,4x
Adidas	2,2x	2,5x	2,4x	2,1x	2,5x
Under Armor	2,6x	3,3x	3,2x	2,9x	2,8x
Lululemon	3,3x	3,2x	2,9x	2,9x	3,1x

Appendix H: Level 4 ROA decomposition among Nike's geographic segments

Capital intensity ratio	2015	2016	2017	2018	2019	2020	2021
EMEA	3,09%	2,17%	2,60%	2,37%	1,49%	1,34%	1,58%
North America	1,64%	1,47%	1,32%	0,74%	0,76%	0,57%	0,80%
Greater China	3,21%	3,38%	4,21%	2,06%	1,12%	2,90%	3,30%
Asia Pacific & LATAM	6,19%	6,02%	4,12%	3,55%	3,46%	3,53%	2,95%

Reinvestment ratio	2015	2016	2017	2018	2019	2020	2021
EMEA	2,8x	1,6x	2,1x	2,1x	1,1x	1,1x	1,5x
North America	1,8x	1,6x	1,2x	,8x	,7x	,8x	1,2x
Greater China	,9x	,9x	1,4x	1,0x	,6x	2,0x	1,9x
Asia Pacific & LATAM	1,5x	1,1x	,9x	,9x	,9x	1,3x	1,3x

Fixed asset utilisation	2015	2016	2017	2018	2019	2020	2021
EMEA	N/a	2,9237	2,932107	2,8171	2,549	2,7592	3,0x
North America	N/a	3,1471	3,256961	3,272	3,0544	3,2753	2,8x
Greater China	N/a	5,3633	5,479189	5,2834	4,7135	4,5474	4,3x
Asia Pacific & LATAM	N/a	2,7429	2,958763	2,9336	3,3722	3,3104	3,7x

Appendix I: Rebalancing of Nike's Financial Statements

a) Reformulation of Balance Sheet

Operating Assets	**15595**	**15915**	**17080**	**17291**	**19054**	**22555**	**24264**	**27324**	**26856**	**26528**	**27428**
Operating Liabilities	**7630**	**7038**	**7050**	**8839**	**10824**	**10272**	**12160**	**12413**	**11383**	**11697**	**12345**
Financial Assets	6002	5464	6179	5245	4663	8787	13476	12997	10675	11582	9151
Financial Liabilities	1260	2083	3802	3885	3853	13015	12813	12627	12144	11983	11021
Equity	12707	12258	12407	9812	9040	8055	12767	15281	14004	14430	13213
Net Debt	**-4742**	**-3381**	**-2377**	**-1360**	**-810**	**4228**	**-663**	**-370**	**1469**	**401**	**1870**
Check	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE
NOA = ND + BVE	7965	8877	10030	8452	8230	12283	12104	14911	15473	14831	15083
NOA = OA - OL	**7965**	**8877**	**10030**	**8452**	**8230**	**12283**	**12104**	**14911**	**15473**	**14831**	**15083**
Check	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE
OA (TA - FA)	15595	15915	17080	17291	19054	22555	24264	27324	26856	26528	27428
Check	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE
OL (TL - FD)	7630	7038	7050	8839	10824	10272	12160	12413	11383	11697	12345
Check	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE	TRUE

b) Reformulation of Cash Flow Statement

NIKE INC.

Reformulation of CF											
	2015	**2016**	**2017**	**2018**	**2019**	**2020**	**2021**	**2022**	**2023**	**2024**	**2025**
Currency	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*	*USD*
Reported Cash Flow From Operations	4 680	3 399	3 846	4 955	5 903	2 485	6 657	5 188	5 841	7 429	3 698
Tax Paid	1 262	748	703	529	757	1 028	1 177	1 231	1 517	1 299	1 226
Tax Relief on Net Interest Paid	10	11	9	30	11	9	36	18	9 -	7 -	3
Cash Flow From Operations	**5 952**	**4 158**	**4 558**	**5 514**	**6 671**	**3 522**	**7 870**	**6 437**	**7 367**	**8 721**	**4 921**
Total Investment in Cash Flow	- 175	- 1 034	- 1 008	276	- 264	- 1 028	- 3 800	- 1 524	564	894	- 275
Free Cash Flow	**5 777**	**3 124**	**3 550**	**5 790**	**6 407**	**2 494**	**4 070**	**4 913**	**7 931**	**9 615**	**4 646**

Effective Tax Rate %	22,2%	18,7%	13,2%	55,3%	16,1%	12,1%	14,0%	9,1%	18,2%	14,9%	17,1%

Appendix J: Liquidity, Solvency, Leverage

Liquidity
solvency
Leverage

For the Fiscal Period Ending	**May-31-2015**	**May-31-2016**	**May-31-2017**	**May-31-2018**	**May-31-2019**	**May-31-2020**	**May-31-2021**	**May-31-2022**	**May-31-2023**	**May-31-2024**	**May-31-2025**
Current Ratio	2,5x	2,8x	2,9x	2,5x	2,1x	2,5x	2,7x	2,6x	2,7x	2,4x	2,2x
Quick Ratio	1,5x	1,6x	1,8x	1,4x	1,1x	1,4x	1,9x	1,6x	1,6x	1,5x	1,3x
Cash from Ops. to Curr. Liab.	0,7x	0,6x	0,7x	0,8x	0,8x	0,3x	0,7x	0,5x	0,6x	0,7x	0,3x
Avg. Days Sales Out.	40,5	37,3	36,8	36,0	36,3	34,4	29,6	35,7	31,3	30,5	36,0
Avg. Days Inventory Out.	91,4	96,5	94,8	92,1	91,8	112,3	105,8	110,5	106,5	102,9	103,3
Avg. Days Payable Out.	43,1	44,2	40,2	38,2	40,6	38,8	38,6	42,2	39,2	38,1	43,6
Avg. Cash Conversion Cycle	88,8	89,6	91,4	89,8	87,5	107,8	96,7	104,0	98,6	95,3	95,7

For the Fiscal Period Ending	**May-31-2015**	**May-31-2016**	**May-31-2017**	**May-31-2018**	**May-31-2019**	**May-31-2020**	**May-31-2021**	**May-31-2022**	**May-31-2023**	**May-31-2024**	**May-31-2025**
Long Term Solvency											
Total Debt/Equity	9,9%	17,0%	30,6%	39,6%	42,6%	161,6%	100,4%	82,6%	86,7%	83,0%	83,4%
Total Debt/Capital	9,0%	14,5%	23,5%	28,4%	29,9%	61,8%	50,1%	45,2%	46,4%	45,4%	45,5%
LT Debt/Equity	8,5%	16,3%	28,0%	36,1%	42,1%	152,9%	96,7%	76,5%	83,6%	72,8%	79,6%
LT Debt/Capital	7,7%	13,9%	21,4%	25,9%	29,5%	58,5%	48,3%	41,9%	44,8%	39,8%	43,4%
Total Liabilities/Total Assets		42,7%	46,7%	56,5%	61,9%	74,3%	66,2%	62,1%	62,7%	62,1%	63,9%
Equity multiplier: total assets / Shareholders' Equity	170,0%	174,4%	187,5%	229,7%	262,4%	389,1%	295,6%	263,9%	268,0%	264,1%	276,8%
EBIT / Interest Exp.	122,8x	145,2x	55,2x	35,8x	36,4x	20,6x	24,4x	22,3x	20,3x	25,1x	12,5x
EBITDA / Interest Exp.	141,9x	166,6x	63,5x	42,1x	41,9x	34,0x	30,3x	28,3x	26,1x	32,0x	18,8x
(EBITDA-CAPEX) / Interest Exp.	113,6x	129,7x	50,7x	33,8x	33,4x	26,8x	27,9x	25,8x	22,8x	29,0x	17,3x
Total Debt/EBITDA	0,3x	0,4x	0,7x	0,7x	0,7x	2,5x	1,4x	1,5x	1,6x	1,4x	2,0x
Net Debt/EBITDA	NM	NM	NM	NM	NM	0,8x	NM	NM	0,2x	0,0x	0,3x

Total Debt/(EBITDA-CAPEX)	0,3x	0,5x	0,9x	0,9x	0,9x	3,2x	1,5x	1,6x	1,8x	1,5x	2,1x
Net Debt/(EBITDA-CAPEX)	NM	NM	NM	NM	NM	1,0x	NM	NM	0,2x	0,1x	0,4x
Equity Ratio : shareholders' Equity / Total Assets	0,6	0,6	0,5	0,4	0,4	0,3	0,3	0,4	0,4	0,4	0,4
Altman Z Score	8,1	9,7	8,1	7,6	8,0	5,6	7,2	8,0	6,9	6,4	4,9

Total Debt/Equity Peers											
Adidas	32,5%	25,2%	18,7%	27,7%	67,6%	88,0%	68,0%	120,7%	113,0%	95,2%	
Lululemon	NA	NA	NA	NA	NA	37,9%	31,2%	32,2%	34,0%	33,2%	36,4%
Puma	1,2%	0,9%	2,4%	3,5%	11,6%	47,8%	67,9%	61,6%	61,4%	69,9%	60,8%
Under Armour	40,0%	40,3%	45,4%	36,1%	60,4%	119,7%	72,0%	85,4%	77,4%	67,0%	68,7%
Nike	9,9%	17,0%	30,6%	39,6%	42,6%	161,6%	100,4%	82,6%	86,7%	83,0%	83,4%

References:

Adidas. (2023). Annual report 2023. Adidas AG.

Altman, E. I. (1968). Financial ratios, discriminant analysis and the prediction of corporate bankruptcy. Journal of Finance, 23(4), 589–609.

Apparel and Footwear Market Share & Trends [2034]. (2025). Industryresearch.biz. https://www.industryresearch.biz/market-reports/apparel-and-footwear-market-101147

Athletic Footwear Market Size, Share, Industry Forecast 2029. (n.d.). Www.fortunebusinessinsights.com. https://www.fortunebusinessinsights.com/athletic-footwear-market-104126

Athletic Footwear Market Size to Surpass USD 197.17 Bn by 2033. (n.d.). Www.precedenceresearch.com. https://www.precedenceresearch.com/athletic-footwear-market

Bhasin, K. (2025, December 18). Nike's Struggles Continue, but Turnaround Plan May Be Working . From New York Times: https://www.nytimes.com/2025/12/18/business/nike-earnings-converse.html

Board of Governors of the Federal Reserve System. (2020). Historical federal funds rate series. Federal Reserve Economic Data (FRED).

Board of Governors of the Federal Reserve System. (2024). *Federal funds effective rate (DFF)*. Federal Reserve Economic Data (FRED). Federal Reserve Bank of St. Louis.

Cognitive Market Research. (2023). *The global Sports Apparel market size will be USD 205614.2 million in 2024.* Cognitive Market Research. https://www.cognitivemarketresearch.com/sports-apparel-market-report

CSIMarket. (2025). *Nike competition market share by company's segment - CSIMarket*. Csimarket.com. https://csimarket.com/stocks/competitionSEG2.php?code=NKE

Document. (n.d.). Www.sec.gov. https://www.sec.gov/Archives/edgar/data/320187/000032018719000051/nke-531201910k.htm#s5781BC85269A5D5C935E5CE6FA570AB4

Danziger, P. (2025, May 13). Nike Makes Leadership Changes As Sales Fall And Controversies Continue. From Forbes: https://www.forbes.com/sites/pamdanziger/2025/05/13/nike-makes-leadership-changes-as-sales-fall-and-controversies-continue/

Equity Insights - *Nike - Just doing it!* (2022). Fnbci.co.uk. https://www.online.fnbci.co.uk/blog/investments/articles/EquityInsights-31_08_23/

Financial Times. (2025, July 1). *Fixing up Nike is a marathon, not a sprint.* From Financial Times: https://www.ft.com/content/ed57f488-d715-445f-82d0-bf11aa964d4d

Footwear - Worldwide | Statista Market Forecast. (2026). Statista. https://www.statista.com/outlook/cmo/footwear/worldwide?srsltid=AfmBOoqQ1wVR37TSzM-uuyxMjN8B5OcYsspNKqjYalKxZphe1qozRkTQ#volume

Fortune Business Insights. (2024). *Activewear Market Size, Share & Trends | Growth Report [2032]*. Fortunebusinessinsights.com. https://www.fortunebusinessinsights.com/activewear-market-107923

Fortune Business Insights. (2025). *Sportswear Market Size, Share, Industry Forecast 2028*. Www.fortunebusinessinsights.com; Fortune Business Insights. https://www.fortunebusinessinsights.com/sportswear-market-102571

Gavino, N. (2025, March 4). *On Running Triples Net Profit in 2024 Exceeding $2.6 Billion USD in Sales*. Hypebeast. https://hypebeast.com/2025/3/on-running-2024-revenue-beats-forecast-2025-growth-on-holding-ag-info

Global sports apparel market: projected revenue 2019-2025| Statista. (2019). Statista. https://www.statista.com/statistics/412667/global-sports-apparel-market-projected-development/?srsltid=AfmBOopYZJb5mZQGd_pf6MHykq4f82bHZrYSdeCYuKVqryNybbDZviDN

Grand View Research. (2023). *Athleisure Market Size, Share & Trend Analysis Report By Product (Yoga Apparel, Leggings), By, Category, By End-user (Men, Women, Children), By Distribution Channel, By Region, And Segment Forecasts, 2024 - 2030*. Grandviewresearch.com. https://www.grandviewresearch.com/industry-analysis/athleisure-market

Hanbury, M. (2025, December 19). *Nike is losing its cultural edge in China*. Business Insider. https://www.businessinsider.com/nike-sales-decline-china-losing-cultural-relevance-2025-12

Hill, E. (2026, February 11). *Nike CEO on Turnaround Plan, ACG Relaunch, Converse.* Bloomberg.

Li, J. (2023). Financial Analysis, SWOT Analysis and Poter Five Forces Analysis for Nike. *Highlights in Business Economics and Management*, *23*(2), 1164–1170. https://www.researchgate.net/publication/381564006_Financial_Analysis_SWOT_Analysis_and_Poter_Five_Forces_Analysis_for_Nike

McKinsey & Company. (2025). *Sporting Goods 2025 the New Balancing act: Turning Uncertainty into Opportunity*. https://www.mckinsey.com/~/media/mckinsey/industries/retail/our%20insights/sporting%20goods%20industry%20trends/2025/sporting-goods-2025-the-new-balancing-act-turning-uncertainty-into-opportunity-v3.pdf

Meyer, G. (2025, September 30). *Nike thumps expectations despite 31% fall in earnings*. From Financial Times: https://www.ft.com/content/0d1f1940-4629-4383-bfda-a651e9558cfa

Meyer, G. (2025, December 18). *Nike shares fall sharply as weak China sales dent faith in turnaround.* From Financial Times: https://www.ft.com/content/a7ef61fa-4c2a-4bb6-aadb-4bed15b41a46

Nike, Inc. (2015). Press release: Board authorizes new share repurchase program. Nike Investor Relations.

Nike, Inc. (2020). Form 8-K and debt offering disclosures. U.S. Securities and Exchange Commission.

Nike, Inc. (2024). Form 10-K fiscal year 2024 – Note on long-term debt. U.S. Securities and Exchange Commission.

Nike. (2025). 2025 Form 10-K.

Nike. (2025, June 26). *NIKE, Inc. Reports Fiscal 2025 Fourth Quarter and Full Year Results*. Nike.com. https://investors.nike.com/investors/news-events-and-reports/investor-news/investor-news-details/2025/NIKE-Inc--Reports-Fiscal-2025-Fourth-Quarter-and-Full-Year-Results/default.aspx

Nike Business Strategy Unveiled: Industry Insights, CSR, and Strategic Growth. (2025). Thestrategyinstitute.org. https://www.thestrategyinstitute.org/insights/nike-business-strategy-unveiled-industry-insights-csr-and-strategic-growth

Nike Market Share in 2019: World's Largest Shoe Company | Global Footwear Market Report. (2019, August 14). Technavio. https://blog.technavio.org/blog/nike-market-share-worlds-largest

NIKE Statistics - NIKE Facts, Stats, Trends & Data (2021) | WallStreetZen. (2025, October). Www.wallstreetzen.com. https://www.wallstreetzen.com/stocks/us/nyse/nke/statistics#3-market-share

Nike: revenue share by region worldwide 2025| Statista. (2025). Statista. https://www.statista.com/statistics/241861/global-revenue-of-nike-by-region/?srsltid=AfmBOorb9EJSS9tFt8UAsH1jngyFtpVo_KBW45IkL3ETFcIqJ0qtXQb5

Reid, H. (2025, February 28). Adidas targets larger US market share as Nike struggles. *Reuters*. https://www.reuters.com/business/retail-consumer/adidas-targets-larger-us-market-share-nike-struggles-2025-02-28/

Research and Markets. (2026, January 19). *Global Clothing & Footwear Industry Report 2025: Market Size, Key Trends, Regional Performance, Consumer Attitudes, Category Insights, Competitive Landscape 2019-2029*. Yahoo Finance. https://finance.yahoo.com/news/global-clothing-footwear-industry-report-124000819.html

Reuters Staff. (2025, December 18). Nike edges past quarterly revenue expectations on resilient demand. *Reuters*. https://www.reuters.com/world/asia-pacific/nike-edges-past-quarterly-revenue-expectations-resilient-demand-2025-12-18/

Rowland, C. (2024, August 16). *Nike Inc. Five Forces Analysis (Porter's Model)*. Panmore Institute. https://panmore.com/nike-inc-five-forces-analysis-porters-model

Salpini, C. (2025, December 19). *As it enters the "middle innings" of a turnaround, Nike's path is far from smooth*. Retail Dive. https://www.retaildive.com/news/nike-turnaround-middle-innings-q2-earnings-revenue-growth/808387/

Samsonov, P. (2024, August 1). *Nike's $25B blunder shows us the limits of "data-driven"*. From UX Design: https://uxdesign.cc/nikes-25b-blunder-shows-us-the-limits-of-data-driven-ad30b6e3d938

Sher, D. (2024, August 21). *Unleashing the Power of Data: A Statistical Analysis of Nike's Rise to the Top of the Sporting Industry*. Investing.com. https://www.investing.com/academy/statistics/nike-facts/

Sportswear Market Size by Sports Activity, Regional Overview and Brand Initiatives to 2029. (2025, March 11). Market Research Reports & Consulting | GlobalData UK Ltd. https://www.globaldata.com/store/report/sportswear-by-sports-activity-market-analysis/

S&P Global Market Intelligence. (2025). *Capital IQ financials and market data platform*. S&P Global Inc.

Statista. (2024a, September 25). *Global sports apparel market: projected revenue 2019-2025*. Statista. https://www.statista.com/statistics/412667/global-sports-apparel-market-projected-development/

Statista. (2024b, September 25). *Sales of the biggest athletic apparel, accessories and footwear companies worldwide in 2023*. Statista. https://www.statista.com/statistics/900271/leading-sportswear-and-performance-wear-companies-by-sales-worldwide/

The Strategy Story. (2023, December 25). *Nike Competitor Analysis - The Strategy Story*. The Strategy Story. https://thestrategystory.com/blog/nike-competitor-analysis/

Nike, Inc. (2022). *Form 10-K for fiscal year ended May 31, 2022*. U.S. Securities and Exchange Commission.

S&P Global Ratings. (2024). *Nike, Inc. credit rating report*. S&P Global Ratings.

Under Armour. (2024). Form 10-K fiscal year 2024. U.S. Securities and Exchange Commission.